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The Second Dimension

The People Factor

Briefly summarized, the first dimension of a conservative investment consists of outstanding managerial competence in the basic areas of production, marketing, research, and financial controls. This first dimension describes a business as it is today, being essentially a matter of results. The second dimension deals with what produced these results and, more importantly, will continue to produce them in the future. The force that causes such things to happen, that creates one company in an industry that is an outstanding investment vehicle and another that is average, mediocre, or worse, is essentially *people*.

Edward H. Heller, a pioneer venture capitalist whose comments during his business life greatly influenced some of the ideas expressed in this book, used the term “vivid spirit” to describe the type of individual to whom he was ready to give significant financial backing. He said that behind every unusually successful corporation was this kind of determined entrepreneurial personality with the drive, the original ideas, and the skill to make such a company a truly worthwhile investment.

Within the area of very small companies that grew into considerably larger and quite prosperous ones (the field of his greatest interest and where he scored his most spectacular successes), Ed Heller was undoubtedly right. But as these smaller companies grow larger on the way to becoming suitable for conservative investment, Ed Heller's view might be tempered by that of another brilliant businessman who expressed serious doubts about the wisdom of investing in a company whose president was his close personal friend. This man's reason for lack of enthusiasm: “My friend is one of the most brilliant men I've ever known. He always has to be right. In a small company this may be fine. But as you grow, your men have to be right sometimes, too.”

Here is an indication of the heart of the second dimension of a truly conservative investment: a corporate chief executive dedicated to long-